

BEYOND THE NUMBERS

Index Concentration: The Big Are Also Getting Bigger in Emerging Markets

03 March 2026 | 3 min read

The 10 largest stocks in the S&P 500 make up a remarkable 38.4% of the index.¹ This concentration spills into global indices: the biggest 10 stocks in the MSCI World Index, all US-listed, account for 26.6% of the flagship global benchmark, leaving passive global equities investors heavily exposed to a handful of US tech stocks.²

But market concentration is not just a developed market story.

The MSCI Emerging Markets Index is, in some respects, even more lop-sided.³ And it shares the same strong bias towards the tech sector.

If your passive emerging markets equity fund tracks this common benchmark, you hold 12.5% of your portfolio in just one stock: Taiwan Semiconductor Manufacturing Company (TSMC).⁴ Meanwhile, your top 10 holdings will account for almost one-third (32.4%) of your portfolio, with five names—TSMC, Samsung Electronics, SK hynix, Hon Hai Precision Industry, and Xiaomi—all coming from the tech sector.

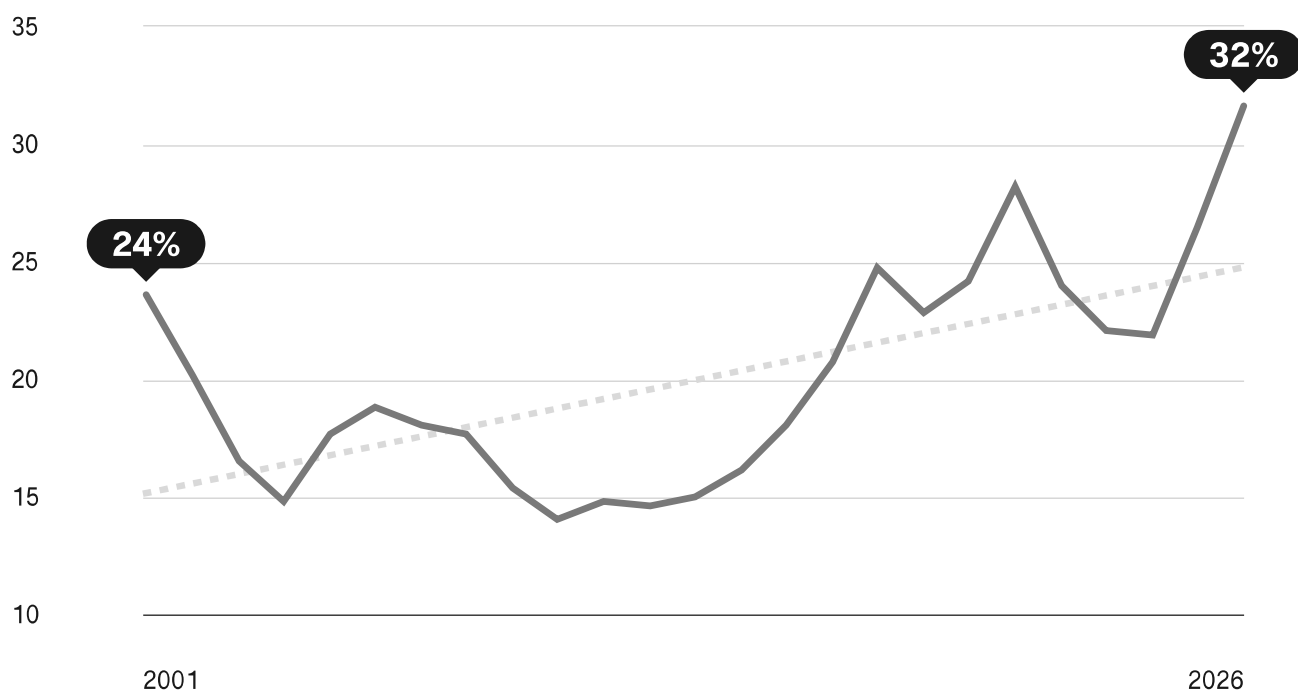
Market Concentration Has Also Been Climbing in EM

Our Cookie Usage

By clicking “Accept All Cookies”, you agree to the storing of cookies on your device to enhance site navigation, analyze site usage, and assist in our marketing efforts. [Cookie Policy](#)

[Cookies Settings](#)[Reject All](#)[Accept All Cookies](#)

MSCI Emerging Markets Index - Top 10 Stocks Aggregate Weight (%)



As of 31 January 2026. Source: FactSet. .

This concentration within the flagship EM equity index is driven by structural shifts: Taiwan's technological dominance, led by TSMC; China's shrinking index weight after recent relative underperformance; and the ascendancy of mega-cap quality businesses in semiconductors and internet sectors.

Attractive valuations, a positive outlook for many EM economies, and scope for further US dollar weakness suggest EM equities remain well placed after a standout 2025. For investors considering an allocation to the asset class, it is important to recognize that concentration risk is a global phenomenon—not just a developed market theme. In EM, however, active managers can be especially well-placed to turn this feature into an advantage.

By looking beyond the largest benchmark constituents and drawing on bottom-up fundamental research, active approaches can tap into a broader and more diverse

Our Cookie Usage

By clicking "Accept All Cookies", you agree to the storing of cookies on your device to enhance site navigation, analyze site usage, and assist in our marketing efforts. [Cookie Policy](#)

Notes 1.

Source: S&P Global.

Data as of 30 January 2026. 2.

Source: MSCI.

Data as of 30 January 2026. 3.

Based on free float-adjusted market capitalization index. 4.

Source: MSCI.

Data as of 30 January 2026.

.

Important Information Published on 3 March 2026.

The performance quoted represents past performance.

Past performance does not guarantee future results.

Information and opinions presented have been obtained or derived from sources believed by Lazard Asset Management LLC or its affiliates ("Lazard") to be reliable.

Lazard makes no representation as to their accuracy or completeness.

All opinions expressed herein are as of the published date and are subject to change.

Allocations and security selection are subject to change.

No risk management technique or process can guarantee return or eliminate risk in any market environment.

Equity securities will fluctuate in price; the value of your investment will thus fluctuate, and this may result in a loss.

Securities in certain non-domestic countries may be less liquid, more volatile, and less subject to governmental supervision than in one's home market.

The values of these securities may be affected by changes in currency rates, application of a

Our Cookie Usage

By clicking "Accept All Cookies", you agree to the storing of cookies on your device to enhance site navigation, analyze site usage, and assist in our marketing efforts. [Cookie Policy](#)

Mention of these securities should not be considered a recommendation or solicitation to purchase or sell the securities.

It should not be assumed that any investment in these securities was, or will prove to be, profitable, or that the investment decisions we make in the future will be profitable or equal to the investment performance of securities referenced herein.

There is no assurance that any securities referenced herein are currently held in the portfolio or that securities sold have not been repurchased.

The securities mentioned may not represent the entire portfolio.

The S&P 500 Index is a market capitalization-weighted index of 500 companies in leading industries of the US economy.

The index is unmanaged and has no fees.

One cannot invest directly in an index.

The MSCI Emerging Markets Index is a free-float-adjusted market capitalization index that is designed to measure equity market performance in the global emerging markets.

The MSCI Emerging Markets Index consists of emerging markets country indices including: Brazil, Chile, China, Colombia, Czech Republic, Egypt, Greece, Hungary, India, Indonesia, Korea, Malaysia, Mexico, Peru, Philippines, Poland, Qatar, Saudi Arabia, South Africa, Taiwan, Thailand, Turkey, and United Arab Emirates.

The MSCI World Index is a free-float-adjusted market capitalization index that is designed to measure global developed market equity performance comprised of developed market country indices.

The index is unmanaged and has no fees.

One cannot invest directly in an index.

Certain information included herein is derived by Lazard in part from an MSCI index or indices (the "Index Data").

However, MSCI has not reviewed this product or report, and does not endorse or express any opinion regarding this product or report or any analysis or other information contained herein or the author or source of any such information or analysis.

Certain information contained herein constitutes "forward-looking statements" which can be identified by the use of forward-looking terminology such as "may," "will," "should," "expect."

Our Cookie Usage

By clicking "Accept All Cookies", you agree to the storing of cookies on your device to enhance site navigation, analyze site usage, and assist in our marketing efforts. [Cookie Policy](#)

There is no guarantee that any forecast or opinion will be realized.

This document is provided by Lazard Asset Management LLC or its affiliates (“Lazard”) for informational purposes only.

Nothing herein constitutes investment advice or a recommendation relating to any security, commodity, derivative, investment management service, or investment product.

Investments in securities, derivatives, and commodities involve risk, will fluctuate in price, and may result in losses.

Certain assets held in Lazard’s investment portfolios, in particular alternative investment portfolios, can involve high degrees of risk and volatility when compared to other assets.

Similarly, certain assets held in Lazard’s investment portfolios may trade in less liquid or efficient markets, which can affect investment performance.

Past performance does not guarantee future results.

The views expressed herein are subject to change, and may differ from the views of other Lazard investment professionals. .

This document is intended only for persons residing in jurisdictions where its distribution or availability is consistent with local laws and Lazard’s local regulatory authorizations.

Please visit www.lazardassetmanagement.com/global-disclosure for the specific Lazard entities that have issued this document and the scope of their authorized activities.

Our Cookie Usage

By clicking “Accept All Cookies”, you agree to the storing of cookies on your device to enhance site navigation, analyze site usage, and assist in our marketing efforts. [Cookie Policy](#)